Mr Harris

ECONOMIC SURVEYS BY THE OECD

CANADA

O. C. D. E.
DIVISION STATISTIQUE
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- 3 JANV 1963

NOVEMBER 1962

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

CANADA

BASIC STATISTICS

THE LAND

Area (thousand sq. km)	9,972
Agricultural area (% of the total area)	7.1
Population of major cities (including their metropolitan areas) (1961 census):	
— Montreal	2,109,509
— Toronto	1,824,481

THE PEOPLE

Population (June 1962)	18,570,000
Number of inhabitants per sq. km	2
Population annual net natural increase (average 1957-1961)	407,000
Net rate of annual increase per 1000 inhabitants (average 1957-1961)	21.9
Labour force, total (June 1962)	6,752,000
Labour force in agriculture (June 1962)	694,000
Immigration (annual average 1957-1961)	137,949

PRODUCTION

G.N.P. in 1961 (millions of Canadian dollars)	36,844
G.N.P. per head (Canadian dollars)	2,020
Origin of Gross Domestic Product:	
— Agriculture, forestry, fishing and trapping	6 %
— Mining, quarrying and oil wells	4 %
— Manufacturing	26 %
— Construction	6 %
— Services	58 %

THE GOVERNMENT

Federal expenditure on goods and services (average 1957-1961, % of G.N.P.)	8
Federal gross fixed asset formation (average 1957-1961, % of G.N.P.)	1.1
Federal Government current revenue (average 1957-1961, % of G.N.P.)	16
Federal direct and guaranteed debt to current expenditure (average 1957-1961, %)	297

Composition of Parliament:

	House of Commons	Senate
Progressive Conservatives	44 %	30 %
Liberals	38 %	59 %
Others and vacancies	18 %	11 %

Last elections, June 1962

LIVING STANDARDS

Food consumption, calories per head per day, 1960-1961	3,096
Consumption of energy per head 1960 (O.E.E.C. average = 100)	249
Steel consumption (kgs. per head, 1960)	309
Number of passenger cars in use per 1,000 inhabitants (1959)	218
Number of telephones per 1,000 inhabitants (1959)	312
Weekly earnings (industrial average, Canadian dollars, 1961)	78

FOREIGN TRADE

Exports:	
Exports of goods and services as % of G.N.P. (average 1957-1960)	20
Main exports 1961 (% of commodity exports):	
— Newsprint	13
— Wheat and wheat flour	13
— Uranium	3
— Aluminium	4
— Nickel	6
Main customers 1961 (% of commodity exports):	
— United States	55
— United Kingdom	16
— European Economic Community	9
Imports:	
Imports of goods and services as % of G.N.P. (average 1957-1960)	23
Main imports 1961 (% of commodity imports):	
— Machinery	14
— Motor cars	9
— Petroleum	7
— Iron and steel	7
Main suppliers 1961 (% of commodity imports):	
— United States	67
— United Kingdom	11
— European Economic Community	6

THE CURRENCY

Monetary unit: Canadian dollar

Currency units per U.S. dollar (fixed rate introduced May 1962) 1.081

ECONOMIC SURVEYS BY THE OECD

CANADA

1962

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in November 1962

CONTENTS

I. BASIC PROBLEMS 5

The Slowing-down of Growth 5
Costs and Prices 11
Balance of payments 11

II. OBJECTIFS AND POLICIES 17

Supplementary Budget, 1960 17
1961-1962 Budget 18
1962-1963 Budget 18
The Emergency Programme 21

III. PROSPECTS AND CONCLUSIONS 25

STATISTICAL ANNEX 32

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CANADA

1. Over the past two years or so, opinion in Canada has become increasingly concerned by the slow rate of economic growth, persistent high unemployment and large deficits on the current external account. Economic policy has had to undergo successive adjustments to try and correct these tendencies. The situation has been rendered more difficult by a short-lived, but sharp, exchange crisis in the first half of 1962, which required prompt emergency action.

2. While the gravity of the recent exchange crisis no doubt owed much to short-term influences, including (since the crisis coincided with the General Election) temporary uncertainties about future government policy, it was not unrelated to the longer-term problems with which the authorities are faced. Since the crisis itself was swiftly overcome (by the end of September about two thirds of the reserve loss had been recovered) it is to these more deep-rooted problems that the present survey is directed. Part I reviews the problems which policy has to solve, and Part II the policies so far adopted to deal with them. Part III discusses Canada's prospects and the lines along which it is desirable that policy should be developed in the near future.

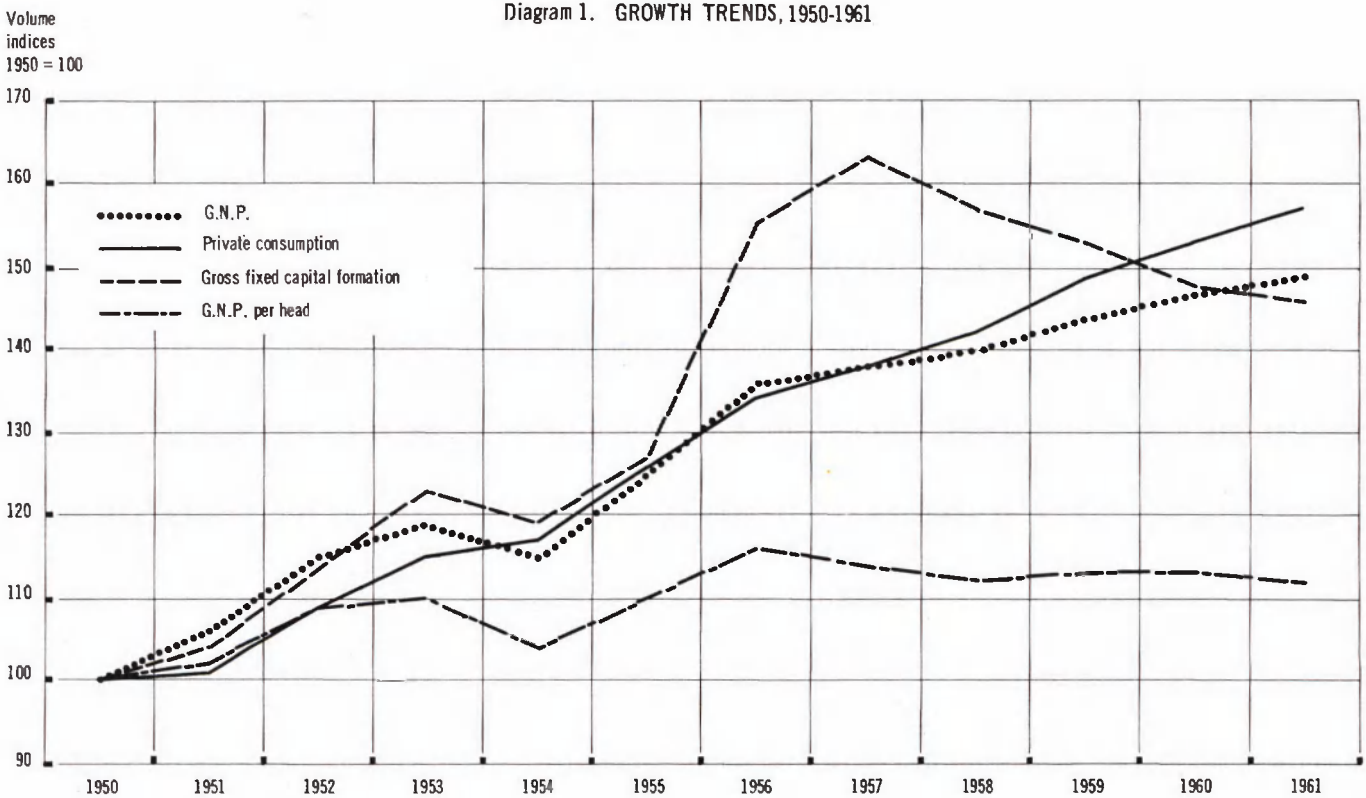
I. BASIC PROBLEMS

The Slowing-down of Growth

3. Output expanded fast in the first half of the post-war period, stimulated by pent-up demand from the war, by the world boom in primary commodities and by the rise in defence expenditure that followed the outbreak of the Korean war. But the expansion then slowed down considerably. The most recent cyclical upturn has, as in the United States, lost momentum well short of full employment conditions.

4. In the 1953-1957 period, some of the special expansionary influences were already disappearing; in particular, defence expenditure was considerably reduced after 1953 and total government expenditure on goods and services, in real terms, showed only a moderate increase. The growth of real output slowed down to 3.7 per cent a year, with investment constituting

Diagram 1. GROWTH TRENDS, 1950-1961



Source : National Accounts, Income and Expenditure (D.B.S.).

Table 1. SELECTED GROWTH RATES
(From cyclical peak to peak)

Compound Annual Percentage Rates

	4th QUARTER 1948 - 2nd QUARTER 1953	2nd QUARTER 1953 - 2nd QUARTER 1957	2nd QUARTER 1957 - 1st QUARTER 1960
Real gross national product	6.0	3.7	2.4
per head of population	3.3	0.7	-0.06
per head of labour force	4.0	1.0	0.9

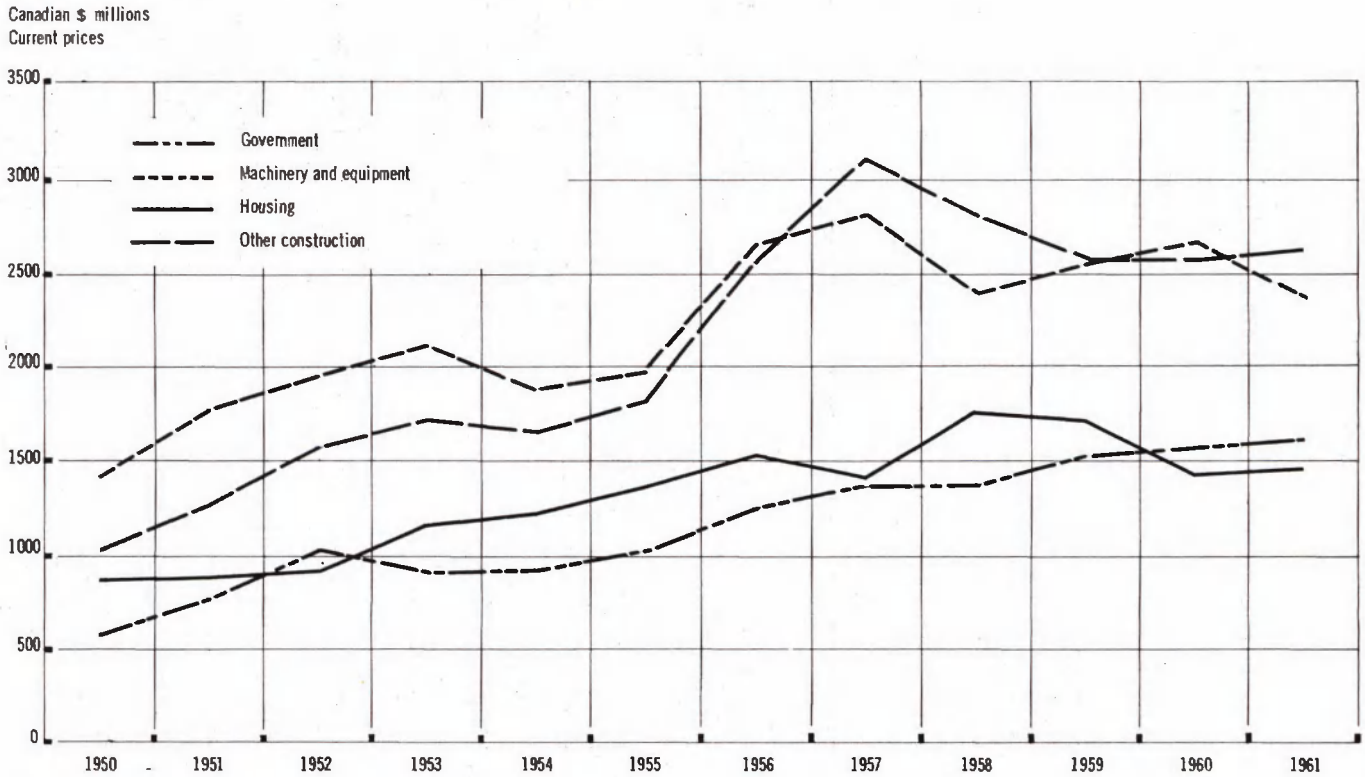
SOURCE : O.E.C.D. estimates.

the main dynamic element. Business investment rose by more than 50 per cent in value and in 1957 total fixed asset formation amounted to as much as 27 per cent of the gross national product - and exceptionally high rate for Canada or most other countries.

5. The rise in investment was concentrated on resource development. This reflected the view - furthered by the shortages that developed during the Korean war - that there would be a great expansion in world demand for primary products of the kind produced in Canada, such as iron ore, uranium, non-ferrous metals, timber, oil and gas, and various chemicals. The resource boom, leading to the development of large new areas, was accompanied by heavy investment in residential construction, social capital and infrastructure.

6. In the 1957-1960 period the increase in real output fell to 2.4 per cent a year, a rate insufficient to maintain real income per head of population. Unemployment was high throughout, remaining at about 6 per cent at the cyclical peak in the first quarter of 1960. The change in world supply and demand conditions for primary products, and the resurgence of European and Japanese competition in manufactured goods, had reduced the incentives to invest. Total real fixed investment in 1960, although still high by international standards, was 10 per cent lower than in 1957; the share of fixed capital formation in the gross national product fell to 23 per cent. Government purchases of goods and services in real terms were not an important stimulating factor, only showing an annual rate of increase of about 2 per cent. Public transfer payments, however, rose considerably, entailing large Federal budget deficits and exerting a stabilising influence on total demand.

Diagram 2. INVESTMENT TRENDS, 1950-1961



Source : National Accounts, Income and Expenditure (D.B.S.).

Table 2. FIXED INVESTMENT
IN SELECTED PEAK YEARS OF ACTIVITY

	1953	1957	1960
Total investment, millions of 1949 dollars	4,695	6,083	5,504
Business investment, millions of 1949 dollars	3,021	4,417	3,408
Components of total investment, per cent :			
Residential construction	19.5	16.2	18.0
Social capital[1]	19.7	19.0	23.8
Resource and related development[2]	20.9	28.9	20.2
Manufacturing	12.0	10.9	10.6
Other	27.9	25.0	27.6

1) Includes investment by governments and institutions, the Canadian Broadcasting Corporation, and municipal waterworks utilities.

2) Includes mining, quarrying and oil wells, forestry, electric power utilities, railway construction, oil and gas pipe-lines and certain other utilities (construction only), and manufacture of forest products, non-ferrous metal products and non-metallic minerals.

SOURCE : O.E.C.D. estimates.

7. The slowing down of the expansion in the United States clearly had a considerably influence on developments in Canada. With the United States taking about three-fifths of Canada's merchandise exports, and with the generally strong financial and economic ties between the two countries, slack conditions south of the border were bound to have a major impact on the trend of activity in Canada. And the pattern of the recent recovery from the 1960 recession has been very similar in the two countries.

8. Activity in Canada recovered fast in 1961, with the real gross national product rising at an annual rate of 8 to 9 per cent between the first and fourth quarters. But expansion slowed down to an annual rate of about 4 per cent in the second quarter of 1962, well before full employment conditions had been approached; unemployment at mid-year was still above 5 1/2 per cent. As in the United States, the slower advance in the first half of 1962 reflected the absence of any acceleration in business fixed capital formation. Business inventory investment was small in the first half of the year but preliminary indications suggest that it was larger in the third quarter.

9. The slack conditions prevailing in the past few years have very largely been due to the slow expansion of demand. Structural deficiencies on the supply side - such as, for example, a failure of the employment pattern to adapt itself to changes in demand for labour - may have played a role, but not a decisive

Table 3. GROSS NATIONAL PRODUCT OR EXPENDITURE IN CONSTANT (1957) DOLLARS

Seasonally adjusted annual rates

Millions of Canadian dollars

	1960	1961				1962	
	1st QTR (PREVIOUS PEAK)	1st QTR (TROUGH)	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR
Personal consumption	21,856	22,476	22,776	23,068	23,116	23,744	23,748
Government expenditure	6,148	6,392	6,608	6,720	6,712	6,900	7,156
Business gross fixed investment	6,564	5,904	5,780	6,108	6,168	6,228	6,212
New construction	3,948	3,644	3,688	3,916	3,908	3,916	3,896
New machinery and equipment	2,616	2,260	2,092	2,192	2,260	2,312	2,316
Change in inventories :							
a) non-farm	+688	+ 64	+176	+112	+484	+ 28	+ 44
b) farm	+ 76	-428	-424	-452	-580	- 40	- 76
Exports of goods and services	7,140	7,036	7,148	7,564	7,624	7,436	7,744
Less : Imports of goods and services	-8,276	-8,068	-7,884	-8,080	-8,236	-8,316	-8,408
Residual error of estimate	- 40	- 44	+ 40	+ 52	+184	+212	+180
Gross national product or expenditure	34,136	33,332	34,220	35,092	35,472	36,192	36,600

SOURCE : National Accounts, Income and Expenditure (DBS)

one. But there are also indications that rising costs, together with the appreciation of the exchange rate that took place up to the middle of 1960, led to some deterioration of the competitive position of Canadian industry, with unfavourable effects on the expansion of activity.

Costs and Prices

10. International comparisons of wage and cost movements are difficult either to make or to interpret. But such comparisons as exist suggest that unit labour costs in Canadian manufacturing in the post-war period have risen faster than those in the United States, Canada's most important trading partner - see Diagram 3. These differences have been due to proportionally sharper increases in money wages in Canada than in the United States : output per manhour expanded at about the same rate in the two countries. Such information as is available also suggests that unit labour costs rose faster during most of the period in Canada than in Europe.

11. This trend has been reversed in recent years, with labour costs rising fast in Europe but staying virtually stable in Canada. And the decline in the exchange rate, amounting to about 12 per cent since the beginning of 1960, has improved substantially the competitive position of Canadian industry.

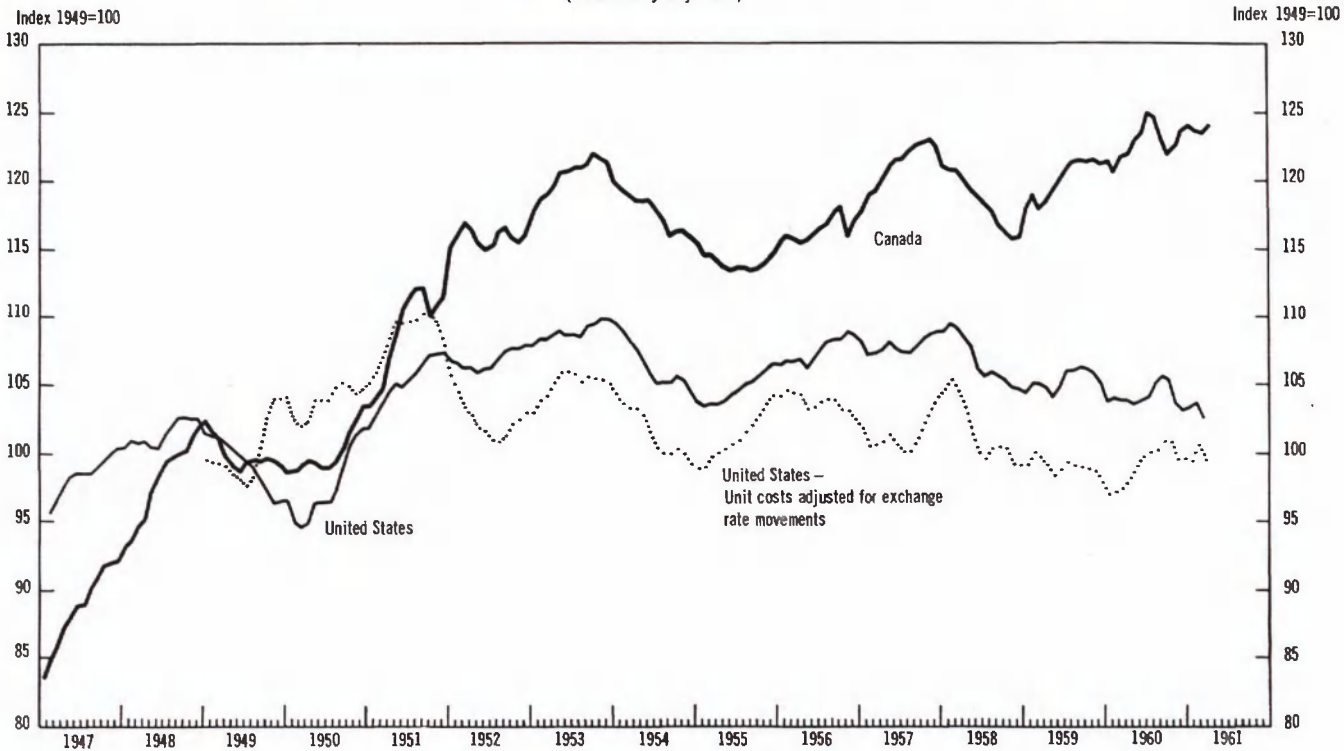
12. The rise in internal prices resulting from the devaluation of the Canadian dollar has so far been moderate, influenced by the considerable slack in the economy. The consumer price index in August was 1.5 per cent higher than at the beginning of 1961, largely as the result of the higher cost of services; prices for non-durable goods have changed little, and for durable goods they have actually declined somewhat. Over the same period, the wholesale price index rose by 4.8 per cent, with primary commodity prices rising in line with the devaluation, reflecting the fact that these prices are determined internationally and not in domestic markets.

Balance of payments

13. Over most of the period since a fluctuating exchange rate was introduced in 1950, the current account deficit was largely matched by capital inflows, with only small changes in the gold and foreign exchange reserves. This was in line with Canadian policy that payments should be balanced by changes in the exchange rate rather than through changes in reserves. The structure of the equilibrium was a current deficit and a long-term capital inflow, with exchange rate and short-term capital movements constituting the other elements in this equilibrating process.

14. In the first half of the 1950's the current account deficit was relatively small in relation to domestic savings in spite of

Diagram 3. WAGE COSTS PER UNIT OF OUTPUT* IN THE UNITED STATES AND CANADA, 1947-1961
(Seasonally adjusted)



* Output in total manufacturing.
Source : Canadian Submission.

a sharp increase in investment and strong pressure on resources. The deficit was financed by an inflow of long-term capital, much of it in the form of direct investment.

Table 4. BALANCE OF PAYMENTS, 1951-1961

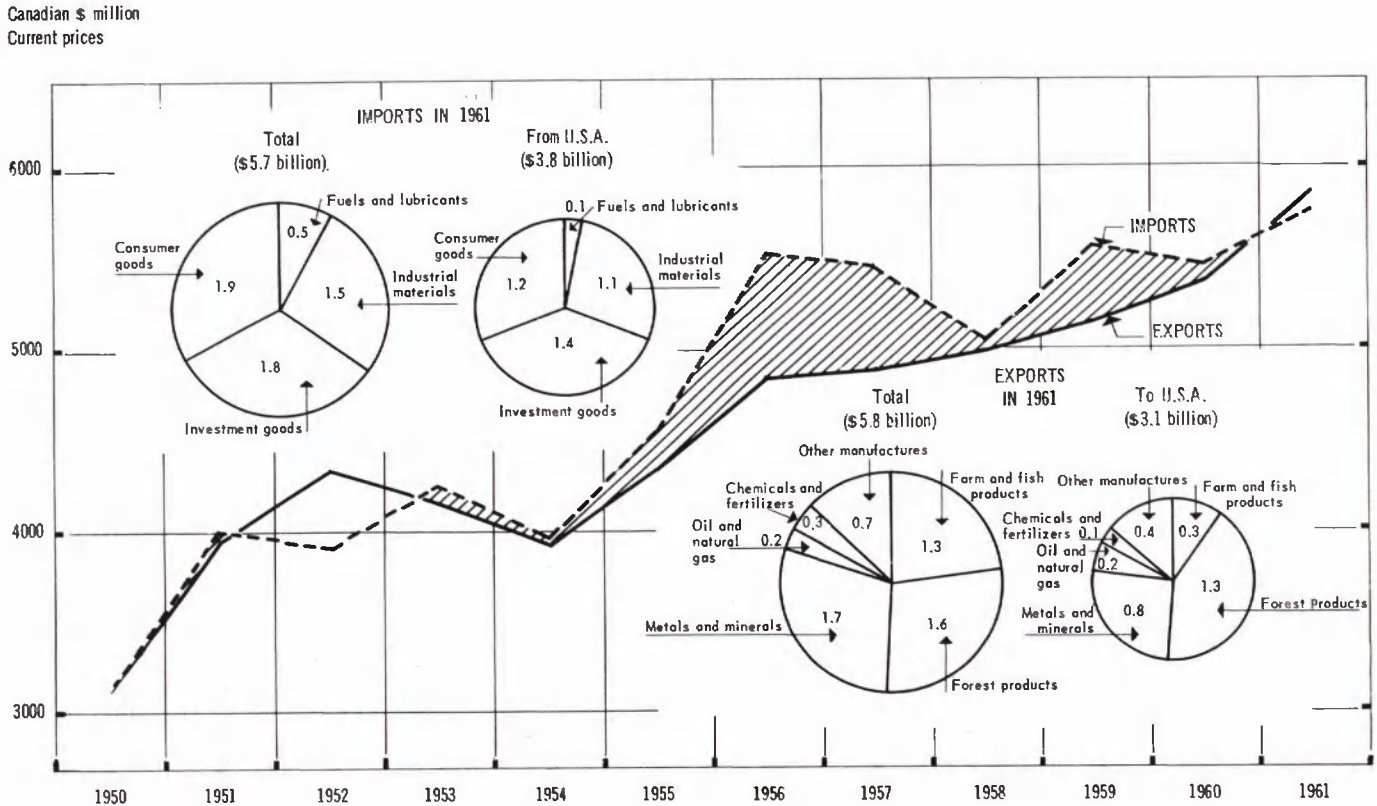
Millions of Canadian dollars, annual rates

	1951-1955	1956-1960	1960	1961
Trade Balance	17	- 414	- 148	173
Non-merchandise balance .. of which :	- 402	- 926	-1,095	-1,155
interest and dividends ...	- 288	- 448	- 480	- 561
Current Balance	- 385	-1,340	-1,243	- 982
Long-term capital ..... of which :	531	1,159	873	604
direct investment	315	465	560	310
new issues net of retirements	130	461	194	175
portfolio (outstanding issues)	6	127	32	98
other long-term	80	106	87	21
Basic Balance	146	-181	-370	-378
Short-term capital	-119	166	331	607
Change in reserves (- = increase)	- 27	15	39	-229

SOURCES : Canadian Statistical Review ;
Quarterly Estimates of the Canadian Balance of Payments.

15. But the current account deficit rose sharply in the second half of the 1950's, to an average of $ 1.3 billion a year, about 4 per cent of the gross national product. The deficit declined somewhat after 1959. Imports flattened out in response to slack demand, especially for investment goods, and to the development of Canadian sources of supply; exports rose moderately. But the improvement in the trade balance was to a great extent offset by a rise in net payments on non-merchandise transactions, and the current deficit remained high. Although the current deficit was matched by an inflow of capital and, therefore, created no immediate balance of payments problems, these developments caused considerable concern. The capital inflow assumed a potentially more volatile nature (portfolio capital and short-term funds); it represented a growing proportion

Diagram 4. FOREIGN TRADE, 1950-1961



Source : Canadian Statistical Review (D.B.S.).

of investment, and led to a sharp increase in Canada's "net international indebtedness". *

16. Canada's net indebtedness to other countries increased from $ 4.3 billion in 1950 to $ 17.0 billion in 1960. The ratio of foreign indebtedness to the G.N.P. rose to 47 per cent in 1960 (it had, however, been 98 per cent before the second world war). Non-resident ownership and control are widely distributed throughout Canadian business; at the end of 1960, 56 per cent of all capital employed in manufacturing, mining, oil and natural gas was controlled by residents in the United States and 14 per cent by the United Kingdom and other countries.

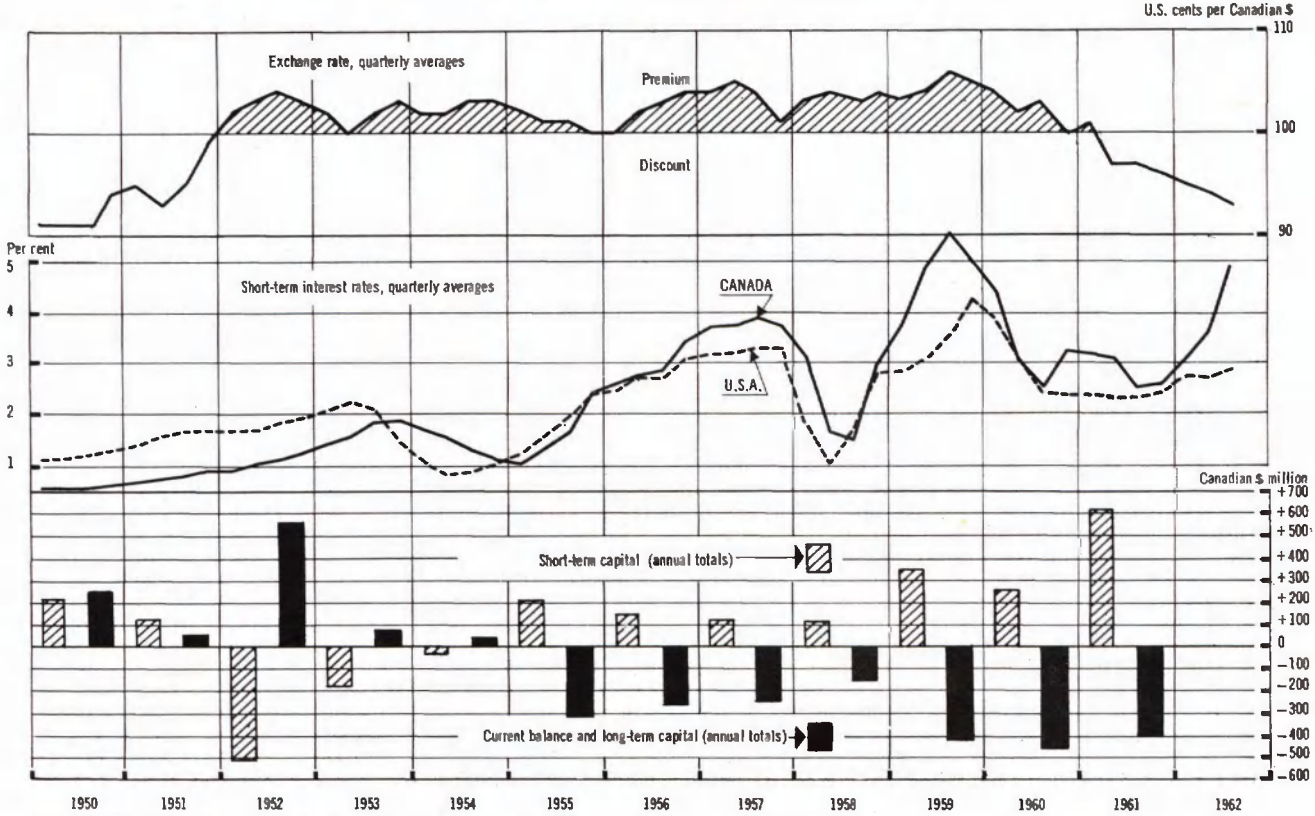
17. The large current deficit was influenced by the weakening of international and commodity markets, the very moderate nature of the expansion in the United States, and growing competition from Europe and Japan at a time when there was a relative increase in Canadian costs. But it also became clear that the problem of competitiveness was being exacerbated by an inappropriate exchange rate.

18. In the first half of the 1950's, the exchange rate tended to appreciate. The current account deficit in this period was much smaller than it subsequently became and was exceeded by long-term capital inflows even through net new issues of securities and sales of bonds and stocks were relatively small; the main item in the long-term capital inflow was direct investment which tended to vary cyclically and to be accompanied by imports of goods. The flow of short-term capital appears to have been determined largely by the expectation that any significant exchange rate movement would soon be reversed. Since long-term capital inflows exceeded the current account deficit the period as a whole showed a net outflow of short-term funds and the exchange rate tended to appreciate. While the rate did not move violently, its periods of buoyancy tended to coincide with inflationary conditions at home and thus served to moderate pressures on resources and prices.

19. In the latter part of the 1950's, however, the size and character of capital inflows changed. Direct investment grew, and came perhaps to contain rather more transactions involving the takeover of existing Canadian businesses than had previously been the case, but the largest changes occurred in the field of security transactions and short-term capital movements. In response to a widening of interest rate differentials between Canada and other financial markets, especially New York, a very large inflow of capital arose from the sale of new issues, the sale of outstanding securities and short-term borrowing. (During this period, the distinction between long and short-term capital became increasingly blurred, and the same has been

* Defined as foreign direct investment in Canada, foreign portfolio investment and other Canadian liabilities minus long and short-term Canadian external assets.

Diagram 5. EXCHANGE RATE, INTEREST RATES AND BALANCE OF PAYMENTS, 1950-1962



Sources : Canadian Statistical Review (D.B.S.). - Bank of Canada Statistical Summary.

true in the most recent period when uncertainty in the exchange market led to speculative movements of capital of a distrubing nature in a variety of forms). These inflows brought about a further strengthening of the exchange rate during the inflationary boom of 1955-1957 in spite of the massive deterioration in the current account which then occurred, and permitted the exchange rate to remain high in the period of slow growth and excess capacity which followed, even though the current account deficit remained very large.

20. There may be room for argument about how far this anomaly resulted from the system of the fluctuating exchange rate as such, and how far it could be ascribed to an inappropriate monetary policy which disturbed the functioning of the system. But given the monetary policy, with relatively high interest rates, which the Canadian authorities found it advisable to adopt, and the capital inflow which it produced, it is clear that the system did not function in conformity with the needs of the economy. The persistence of a high exchange value of the Canadian dollar over a comparatively long period during which the current external account was unsatisfactory and under-utilisation of domestic resources was arousing growing official and public concern, eventually led to a change in policy.

II. OBJECTIVES AND POLICIES

21. The main objectives of economic policy over the last two years have been to ensure a recovery of output and employment, create conditions for faster longer-term growth and to improve the balance of payments. To these ends the authorities have applied both monetary and budgetary weapons, and a wide range of selective measures have been taken to stimulate or facilitate expansion in particular sectors.

Supplementary Budget, 1960

22. A first group of measures was announced in the speech from the Throne in November 1960 and in the Supplementary Budget in December of that year. To improve the short-run economic situation, steps were taken to stimulate investment; budget assistance was granted to public authorities, works programmes were set in hand, and loan guarantees and tax incentives were introduced. A number of measures were taken to improve the trade balance. Trade production was stepped up and an active policy as regards trade in Canadian oil was announced early in 1961. The interpretation of certain tariff regulations was made more strict. The Supplementary Budget announced that, in order to encourage a decline in the exchange rate, special tax incentives for capital imports would be removed as quickly as international obligations permitted; all categories of foreign investment would be subject to the standard 15 per cent withholding tax, thus discontinuing the previous system

under which certain types of investment had been exempted from the tax or subjected to a lower rate. Tax incentives were introduced to encourage greater participation of domestic capital in the ownership and control of Canadian industry.

1961-1962 Budget

23. Since the economic situation was not entirely satisfactory and the exchange rate had not fallen enough, the Minister of Finance stated, in his Budget speech in June 1961, that more expansionary fiscal and monetary policies would be adopted to stimulate faster expansion and that, so far as the current external deficit was concerned, the authorities were aiming at i) a substantial reduction in the near future and ii) a subsequent position much closer to balance. An essential element in these policies was a group of measures to encourage a further decline in the exchange rate; in particular, financial policies, including debt management policies, would be shaped with a view to achieving a decline in interest rates relative to those prevailing abroad. To facilitate the flow of funds within Canada, measures would be taken to improve debt management policies and thus achieve greater stability in the capital market, and to extend the activities of the Industrial Development Bank. Since it might take some time to divert demand for funds from foreign to domestic sources, the Government would use the Exchange Fund to neutralise, at least in some degree, the effects of the continuing capital inflow.

1962-1963 Budget

24. In his Budget Speech in April 1962, the Minister stated that, although activity had recovered fast over the last twelve

Table 5. FEDERAL FINANCES

Millions of Canadian dollars

	1960-1961	1961-1962	1962-1963 1) (ESTIMATED IN APRIL 1962)
Revenue	5,618	5,772	5,780
Expenditure	5,958	6,563	6,525
Budgetary account	-340	-791	-745
Non-budgetary account	46	312	n.a.
Cash requirements (-)	-294	-479	n.a.

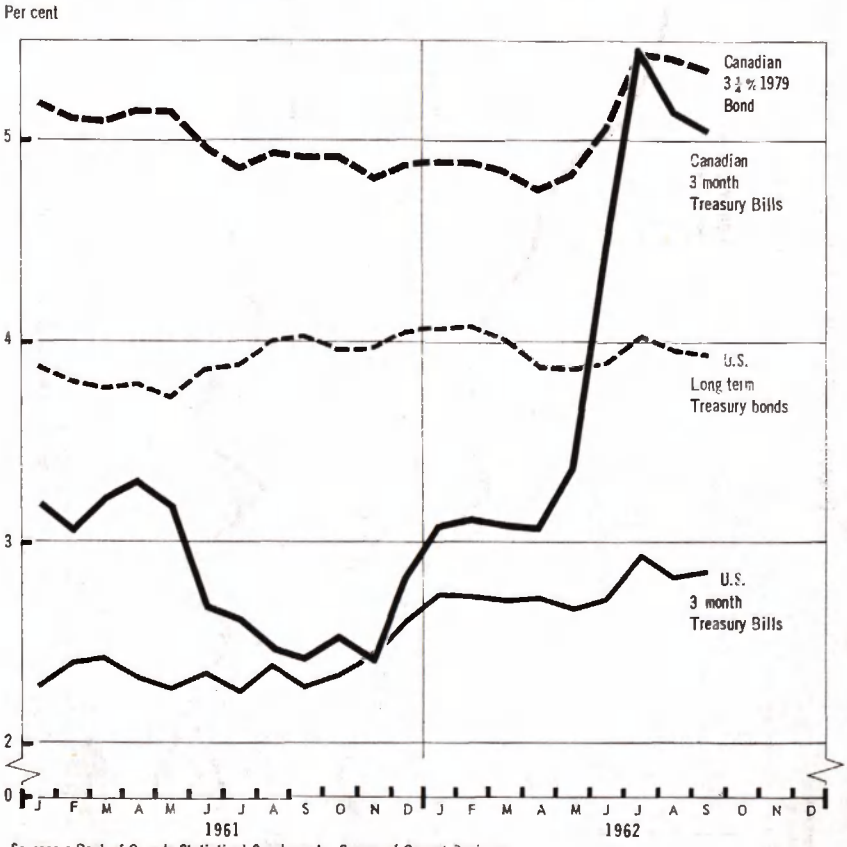
1) The fiscal year runs from 1st April to 31st March. The estimates for 1962-1963 reflect a reduction in both revenue and expenditure arising out of the 1962-1967 taxation agreements between the Federal and Provincial Governments.

SOURCE : Bank of Canada Statistical Summary.

months, unemployment and under-utilisation of capacity remained high, and that the introduction of budgetary restraint would be premature. As a result of better debt management, greater stability had been achieved in the money and capital markets, with a decline in interest rates. The Government had concentrated its borrowing (apart from the usual Savings Bond campaign) on the shorter end of the market so as to reduce pressure on long-term market rates, which directly affected borrowing by business, provinces and municipalities.

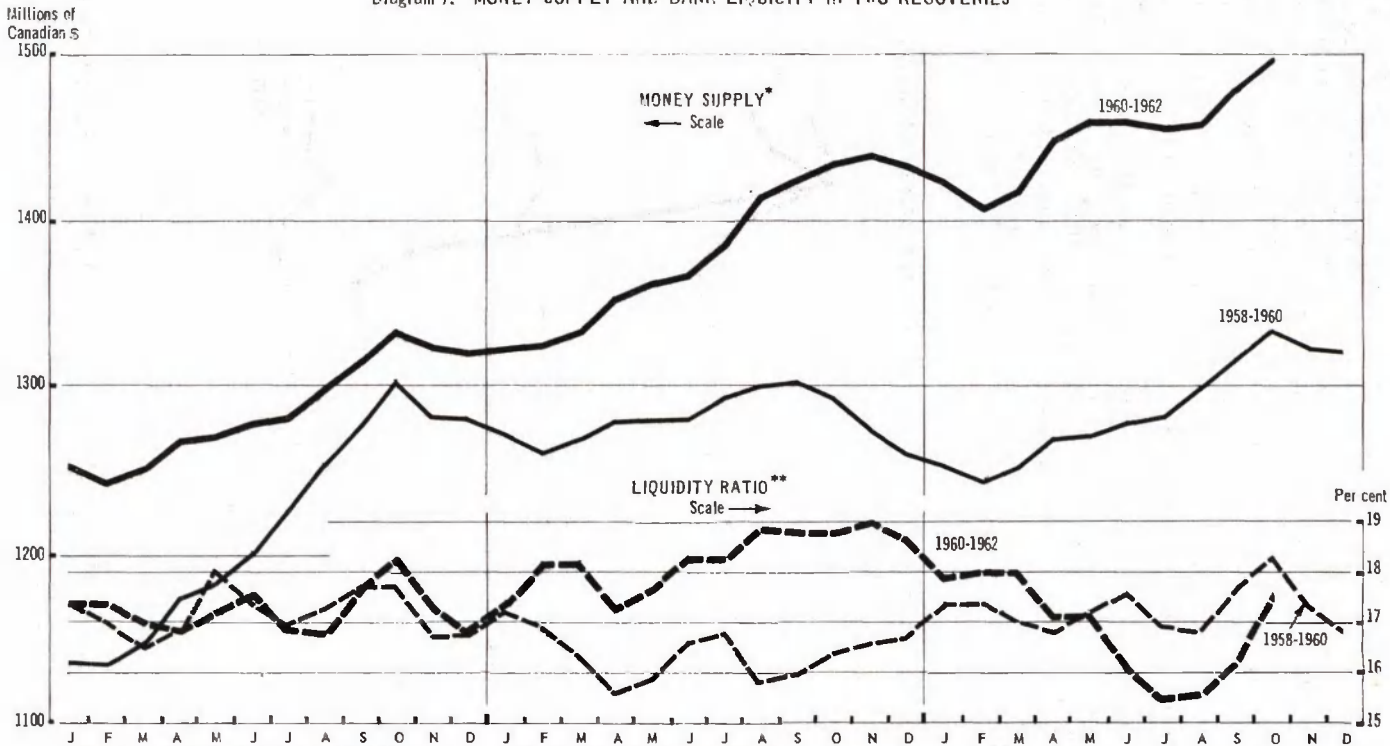
25. In fact, yields on Government bonds drifted downwards during 1961 and the first months of 1962. The yield on 91-day Treasury bills also fell in the first half of 1961, although it rose again in the second half and remained at the higher level in the first months of 1962. Interest rate differentials between Canada and the United States declined during most of this period, in line

Diagram 6. INTEREST RATES IN CANADA AND THE UNITED STATES, 1961 AND 1962



Sources : Bank of Canada Statistical Supplement; Survey of Current Business.

Diagram 7. MONEY SUPPLY AND BANK LIQUIDITY IN TWO RECOVERIES



* Total Currency and Chartered Bank deposits held by the General Public, including Personal Savings Deposits.

** Chartered Banks' cash, day to day loans and Treasury Bills to Canadian dollar deposit liabilities.

Source : Bank of Canada Statistical Summary.

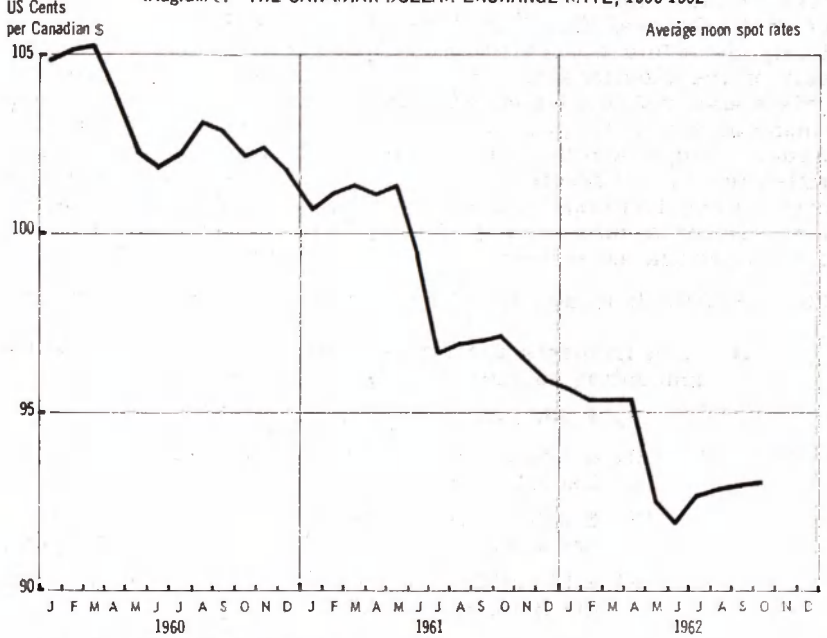
with the policy objectives. These trends were in marked contrast to the experience of the 1958-1959 expansion, when monetary policy had been tightened at an early stage of the recovery, with a sharp increase in interest rates. During the recent recovery, up to the spring of 1962, the money supply* rose by about 7 per cent a year, in rough proportion to the growth in the real gross national product. And the liquidity position of the chartered banks remained reasonably easy throughout this period.

26. But these trends changed abruptly and the traditional inflow of capital was replaced by a net outflow. Treasury bill yields began to rise fairly rapidly in late April and by the middle of May a general upward movement in interest rates was underway. By the middle of July the 91-day Treasury bill rate had risen to 5.5 per cent, from 3.1 per cent in mid-April. The money supply and bank liquidity fell rather sharply.

The Emergency Programme

27. The exchange rate had declined somewhat after the 1960 Supplementary Budget although a premium over the U.S. dollar had remained. After the announcement in the June 1961 budget that the authorities were aiming at a further decline, the rate

Diagram 8. THE CANADIAN DOLLAR EXCHANGE RATE, 1960-1962



Source ; Bank of Canada Statistical Summary.

* Currency and chartered bank deposits held by the general public.

fell to about 96.5 U.S. cents and remained at that level during the rest of the year, with some further decline in December. In the first four months of 1962 a heavy loss of foreign exchange (U.S. $ 460 million) was incurred in order to stabilise the rate at 95 U.S. cents, more than reversing the accumulation which had occurred in October. On May 2nd a fixed exchange parity of 92.5 U.S. cents was introduced, and the drain on reserves abated. But renewed pressure on the exchange rate developed, and a massive decline in the official reserves led to the introduction of the emergency programme on 24th June.

28. The loss of reserves in the first half of 1962 was due to the virtual disappearance of the long-term capital inflow, and to a net outflow of short-term funds. The current account deficit showed little increase from a year earlier. Canadian long-term borrowing abroad had already fallen in the second half of 1961 in response to policies designed to bring about a decline in the exchange rate. Foreign direct investment was also lower than earlier. In this period, however, short-term funds moved into Canada, in the expectation that the decline in the exchange rate would soon be reversed. But in the first half of 1962, expectations changed and led to a large outflow of short-term funds.

29. The continued speculation against the Canadian dollar after the introduction of the fixed exchange parity at a lower level in May, was no doubt strongly influenced by the imminence of the General Election; there was, inevitably, some uncertainty about future government policies, and the indecisive result of the elections did not improve the situation.* But the crisis also reflected a growing uneasiness about the country's financial position, particularly the persistent deficits in the Federal budget and the current external balance, and the authorities felt that corrective action had to include measures with a direct impact on these two accounts. The type of measure taken, however, was influenced by the fact that Parliament was not in session so that no legislative changes could be secured.

30. On 24th June the authorities announced the following steps :

a) Arrangements for foreign loans and stand-by credits amounting to more than U.S. $ 1 billion, of which :

   i) $ 300 million from the I.M.F.;

   ii) a credit line of $ 400 million from the U.S. Export-Import Bank;

   iii) $ 250 million under a reciprocal currency arrangement with the Federal Reserve System;

   iv) $ 100 million under a similar arrangement with the Bank of England.

* The election was held on 18th June. Of the 265 seats in the Lower House the Conservatives won 116, the Liberals 100, the Social Credit Party 30 and the New Democratic Party 19. The Conservatives formed a minority government.

Table 6. BALANCE OF PAYMENTS 1961-1962

Millions of Canadian dollars

	1961				1962	
	1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR
Merchandise exports (adjusted)	1,266	1,447	1,557	1,619	1,396	1,620
Merchandise imports (adjusted)	1,260	1,478	1,419	1,559	1,401	1,664
Trade balance	+ 6	- 31	+138	+ 60	- 5	- 44
Invisibles, net	-344	-284	-195	-332	-348	-333
Current Balance	-338	-315	- 57	-272	-353	-377
Long-term capital	147	213	144	99	16	- 48
Direct investment	80	105	60	65	60	30
New issues net of retirements	18	62	95	0	- 20	108
Other portfolio	47	66	- 10	- 5	- 41	- 79
Other long-term	2	- 20	1	39	17	-107
Short-term capital	296	153	-149	308	- 27	-168
Change in reserves (- = increase)	-105	- 51	+ 62	-135	+364	-114
Special financial assistance	-	-	-	-	-	707

SOURCES : Canadian Statistical Review and Quarterly Estimates of the Canadian Balance of Payments.

b) A temporary surcharge on about half of imports; those exempted consisted in the main of basic foodstuffs, raw materials, industrial components and agricultural machinery :

i) a 5 per cent surcharge on categories amounting to Canadian $ 2,300 million (38 per cent) of annual imports of a less essential nature;

ii) a 10 per cent surcharge on about Canadian $ 650 million (11 per cent) of annual imports;

iii) a 15 per cent surcharge on Canadian $ 150 million (less than 3 per cent) of annual imports consisting mainly of wines, spirits, perfumes, etc.

The authorities expected that the revenue derived from the surcharges would amount to Canadian $200 million in a full year.

c) A reduction of the duty-free allowance for tourist purchases from Canadian $ 300 to Canadian $ 100 a year for Canadians travelling overseas, and from Canadian $ 100 to Canadian $ 25 every four months for those going to the United States. The authorities estimated that the import surcharges and the reduction of the tourist exemption together would improve the foreign balance by Canadian $ 300 million in a full year.

d) A cut in budget expenditure by Canadian $ 250 million (almost 4 per cent) a year. The combined effect of this and the higher revenues resulting from the import surcharges would reduce the budget deficit by Canadian $ 450 million in a full year. The budget estimates for 1962-1963 prior to these changes had shown a deficit of Canadian $ 745 million. *

e) Bank rate was pegged at 6 per cent; previously the rate had been fixed every week at a quarter of one per cent above the latest weekly average tender rate for 91-day Treasury bills.

31. The Prime Minister, announcing the new measures, stressed that the fixed exchange parity of 92.5 cents established early in May would be maintained. The measures related to imports were temporary and would be abolished as soon as circumstances permitted. It was the intention of the Government to maintain a climate in Canada hospitable to foreign investment, and it was expected that the normal inflow of capital would

* According to the most recent estimates, given by the Minister of Finance in the House of Commons on 22nd October 1962, the combined effect of the reduction in expenditures and of the surcharges on imports, will be to reduce the budget deficit in the 1962/1963 fiscal year by about Canadian $ 175 million compared with the initial estimate.

revive. Longer-term measures of a positive and constructive nature would be introduced to improve Canada's balance of payments.

32. The emergency measures were successful in checking the outflow of funds. Excluding the U.S. $ 650 million drawn from the special credit lines arranged in June, the gold and foreign exchange reserves by the end of September had recovered by some U.S. $ 680 million. Renewed confidence in the Canadian dollar was accompanied by some easing of monetary conditions and a decline in market rates. In early September Bank rate was reduced to 5.5 per cent, in mid-October to 5 per cent, and in November to 4 per cent.

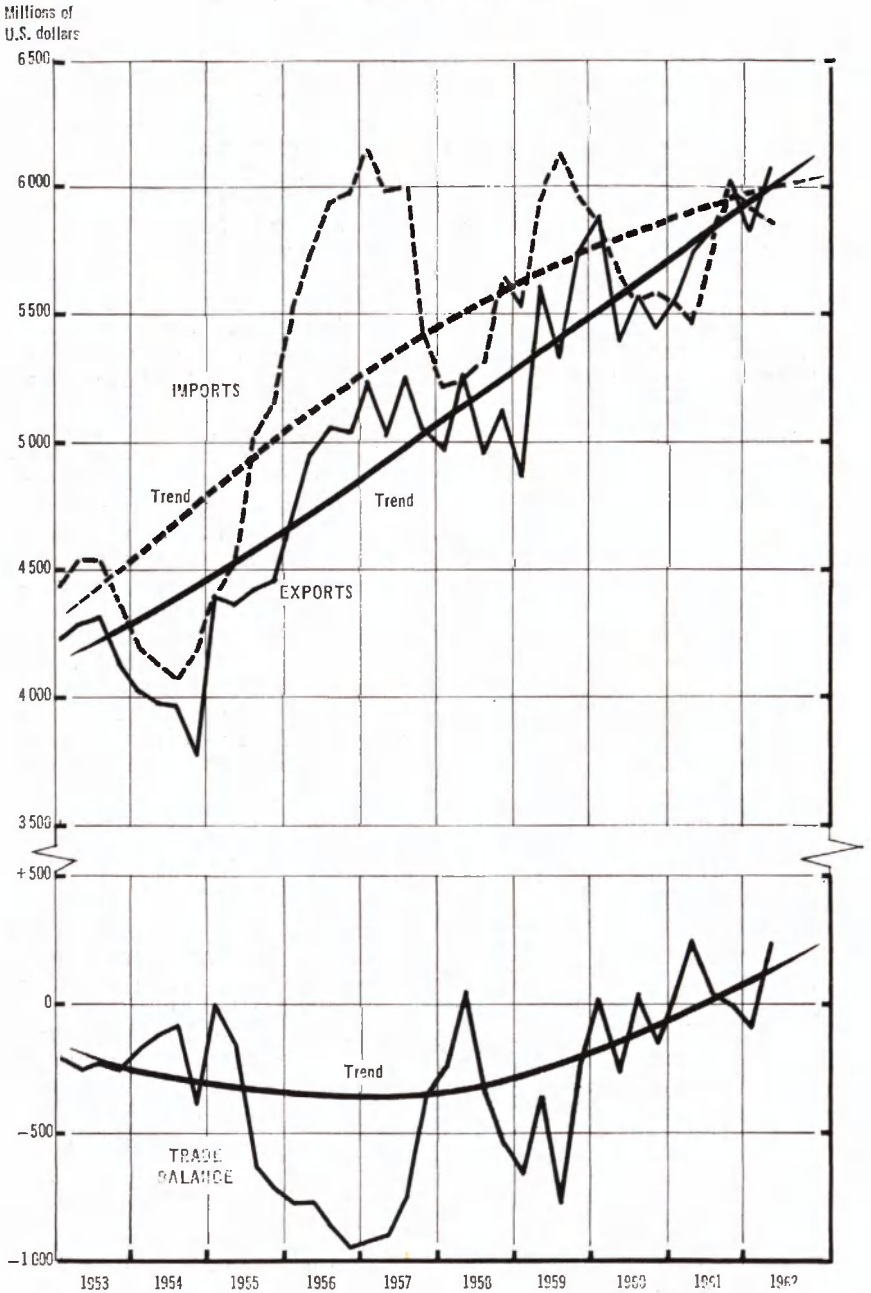
33. The speech from the Throne on September 27th announced further measures designed to encourage economic growth and strengthen the balance of payments, mainly of a long-term nature. Legislation establishing a National Economic Development Board would be proposed. The export drive would be continued, and large scale, long-term contracts for the export of hydro-electric power would be encouraged. The Government aimed at a balanced budget; revised estimates, reflecting a programme of economies in government expenditures, would be submitted to Parliament. But new fiscal measures would be introduced to provide further solutions to long-term problems. A Royal Commission had been established to review the whole field of federal taxation and its impact on the economy, and to recommend reforms. Various tax incentives to stimulate production and industrial research would be re-introduced. Amendments would be requested to the charter of the Industrial Development Bank to enlarge its activities. The winter works programme to help municipalities meet seasonal unemployment would be continued.

III. PROSPECTS AND CONCLUSIONS

34. Maintenance of confidence in the present exchange value of the Canadian dollar and the achievement of a more appropriate balance of payments position than that prevailing in recent years must be major objectives of economic policy. On the basis of present trends and policies, the balance of payments is in fact likely to improve, and the decline in the current external deficit should in itself provide some stimulus to domestic activity. But it is unfortunate that, at a time when there is a considerable margin of unused resources in the economy, the authorities have felt obliged to take monetary and budgetary measures which are almost bound to have an unfavourable effect on the course of domestic activity.

35. The speed and magnitude of the improvement of the balance of payments are difficult to assess. The current account was already improving before the devaluation and the introduction of

Diagram 9. TRENDS IN MERCHANDISE TRADE, 1953-1962
(Seasonally adjusted annual rates)



Source : Bank of Canada.

other measures to strengthen it. The current deficit fell from $1.5 billion in 1959 to about $ 1 billion in 1961, and the trade balance has been improving ever since 1956, from a deficit of $ 700 million to a surplus of nearly $ 200 million in 1961. These developments were no doubt helped by the existence of considerable slack in the economy, with little increase in imports, and short-term influences may have played a role. But it would seem reasonable, in the light of measures recently introduced and of the government's stated intention to introduce measures of a constructive and long-term nature, to expect the better trend to continue.

36. The decline in the current deficit will probably, for the greater part, result from an improvement of the trade balance; net expenditure on various services, including tourism, are also likely to decline, but interest and dividend payments, which account for about half the non-merchandise deficit, will probably continue to rise, although less fast than earlier. Exports of primary products, which account for the bulk of Canada's merchandise exports, are likely to continue to grow in line with world demand, little affected by the devaluation; the prices of these commodities are determined in world markets and many of them are regulated by international producers' agreements which virtually exclude price competition. But the devaluation will increase the Canadian dollar value of such exports. It should also give a strong impetus to Canada's secondary industries, whose development in past years has been hampered by an inappropriate exchange rate, through the improvement in their competitive position. In view of the size and diversified structure of these industries, the effect on the trade balance of the development of new exports and replacements of imports could be important, if full advantage of the devaluation is taken.

37. It is clearly essential that the devaluation should not be absorbed by cost and price increases. With considerable slack in the economy, there is little immediate danger of an excessive rise in costs. When full employment is approached the issue is likely to become more pressing and the Canadian government is aware of the problems which could arise in such circumstances.

38. The necessary re-allocation of productive resources in favour of import substitutes and exports can be assisted by government action. While the nature of the new longer-term measures which the authorities are preparing to strengthen the foreign balance is not yet fully known, the recent Speech from the Throne suggests that measures in this direction will be taken - measures to promote industrial research, labour mobility and training, and including tax incentives and improved financial facilities for the expansion of manufacturing industry.

39. The development of the current balance will, of course, depend also on a number of factors external to Canada, notably

the level of activity prevailing in her major trading partner countries and their foreign commercial policies. But in reasonably favourable external conditions, there would seem to be little reason why the existing targets of Canadian policy should not be achieved - a substantial reduction of the current external deficit in the near future, and subsequently a position much closer to balance. At the same time a continuing capital inflow will be needed to maintain overall balance on external account, at least in the next few years.

40. With the introduction of a fixed exchange parity at a lower and more appropriate level, the long-term capital inflow should revive. In the absence of a renewed world boom in primary commodities, the volume of foreign direct investment in Canada is unlikely to regain the high level of the second half of the 1950's. But some fairly sizable capital inflow on this account is probable in view of the low costs of many Canadian primary products, and because of the continuing need for foreign firms (especially American) to expand their natural resource base. And with monetary policy aiming at maintaining higher interest rates in Canada than in the United States, a renewed inflow of portfolio capital can also be expected; in particular, Canadian long-term borrowing in the United States is likely to be resumed. The Canadian Government recently negotiated a bond issue of $ 250 million at 25 years' maturity in New York.

41. The early achievement of a reasonable and fairly stable balance on external account would therefore seem likely. This should enable the Government, at an early date, to remove the import surcharges imposed in June, and some steps in this direction have already been taken. The surcharges were meant as a temporary expedient to demonstrate the authorities' determination to maintain the exchange parity established in May. But it is clear that they run counter to Canada's liberal trading policies, to the international agreements to which Canada is a partner, and to the spirit of international cooperation which Canada, since the war, has done much to establish. It is in the interests of Canada as well as of the world at large that the import surcharges should be removed as soon as possible.

42. It is not easy to assess the prospects for domestic activity in Canada. Developments in the United States are of crucial importance; with continuing slack in the United States, it is difficult to maintain a satisfactory rate of expansion in Canada. The authorities expect the decline in the current external deficit to be an important dynamic element. But home demand has shown little strength in recent months. Some further increase in both private and public expenditure can be expected, but it is difficult to see forces in action which are likely to produce any very strong revival of the expansion. The real gross national product should continue to rise, but not fast enough to absorb much of the existing under-utilisation of resources.

43. The prospect of continued slack in the economy raises the question of what the authorities can do to stimulate activity. The scope for monetary action is limited by the requirements of the balance of payments. And the recent Speech from the Throne stated that the objective of the Government is a balanced Budget. This clearly reflects the vulnerability of the external balance and the desire to do nothing which could shake confidence in the authorities' determination to maintain the existing exchange rate. But it also reflects the conviction that a satisfactory and sustainable rate of expansion in Canada must be sought by other means.

44. The authorities feel that action to stimulate the economy must be concentrated on measures to improve the balance of payments; the decline and ultimate elimination of the current deficit, which represents about 3 per cent of the gross national product, is desirable in itself and will provide an important stimulus to domestic activity. The Speech from the Throne suggested that the authorities are considering measures to reinforce and supplement the effects of the devaluation and, more generally, to promote efficiency and flexibility in Canadian industry. While the nature of these measures is not yet fully known, it is clear that, with the expansionary impact of Federal budget deficits now disappearing, strong action is needed to achieve a faster rate of growth. The large and growing budget deficits of recent years have played an important role in sustaining activity, but it is clear that in the conditions prevailing in Canada today, sustainable growth requires some fundamental changes in the structure of production and expenditure. In this context, not only the volume but also the structure of budget receipts and expenditure should be taken into account when formulating policies for economic growth.

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STATISTICAL ANNEX

Table I. GROSS NATIONAL

Seasonally adjusted

	1959	1960	1961
Personal expenditure on consumer goods and services ...	22,495	23,367	24,253
Government expenditure on goods and services	6,449	6,683	7,183
Business gross fixed capital formation	6,894	6,692	6,493
of which:			
- New residential construction	1,734	1,443	1,458
- New non-residential construction	2,589	2,577	2,647
- New machinery and equipment	2,571	2,672	2,388
Value of physical change in inventories	+ 350	+ 359	- 238
Exports of goods and services	6,683	7,022	7,578
less: Imports of goods and services	-8,131	-8,160	-8,487
Residual error of estimate	+ 44	- 35	+ 62
Gross National Expenditure at market prices = GROSS NATIONAL PRODUCT	34,784	35,928	36,844

SOURCE: National Accounts, Income and Expenditure (D.B.S.)

PRODUCT AND EXPENDITURES

annual rates - Current prices

Millions of Canadian dollars

1960				1961				1962	
1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	1st Quarter	2nd Quarter
22,856	23,332	23,376	23,904	23,784	24,124	24,504	24,600	25,312	25,456
6,492	6,544	6,804	6,892	6,924	7,140	7,284	7,384	7,660	7,964
7,008	6,548	6,564	6,648	6,392	6,260	6,620	6,700	6,840	6,880
1,624	1,372	1,396	1,380	1,344	1,436	1,576	1,476	1,548	1,536
2,624	2,524	2,580	2,580	2,616	2,560	2,652	2,760	2,748	2,760
2,760	2,652	2,588	2,688	2,432	2,264	2,392	2,464	2,544	2,584
+ 780	+ 484	- 92	+ 264	- 332	- 212	- 316	- 92	- 72	- 96
7,244	6,748	7,204	6,892	7,184	7,316	7,856	7,956	7,836	8,240
-8,348	-8,144	-8,036	-8,112	-8,344	-8,184	-8,608	-8,812	-8,964	-9,216
- 44	+ 108	- 100	- 104	- 48	+ 44	+ 56	+ 196	+ 228	+ 196
35,988	35,620	35,720	36,384	35,560	36,488	37,396	37,932	38,840	39,424

Table II. INDUSTRIAL PRODUCTION,

	BASIS	UNIT
1. INDUSTRIAL PRODUCTION		
All industries	Seasonally adjusted index	1953 = 100
Mining	"	"
Manufacturing durables	"	"
Non-durables	"	"
2. NEW RESIDENTIAL CONSTRUCTION		
Starts	Seasonally adjusted annual rates	Thousands of dwelling units
Completions	"	"
Under construction	End of period, unadjusted	"
3. EMPLOYMENT AND UNEMPLOYMENT		
Civilian Labour Force	Unadjusted monthly averages	Thousands
Employment in all industries	Seasonally adjusted index	1953 = 100
Mining	"	"
Manufacturing: Durables	"	"
Non-durables	"	"
Construction	"	"
Unemployment (including workers on temporary lay-off)	Unadjusted averages	Thousands
"	Percentage of Civilian Labour Force, unadjusted	Per cent
"	Seasonally adjusted index	1956 = 100
"	Percentage of Civilian Labour Force, Seasonally adjusted	Per cent
Vacancies notified under the Unemployment Insurance Act	Unadjusted averages	Thousands
Average hours worked in manufacturing	Seasonally adjusted	Hours per wee
4. RETAIL SALES	Seasonally adjusted monthly averages	Millions of Canadian dollar
5. INVENTORIES		
Manufacturing	Stocks owned, end of period, seasonally adjusted	Millions of Canadian dolla
"	Stocks held, end of period, unadjusted	"
of which: Raw materials	"	"
Goods in process	"	"
Finished products	"	"
6. ORDERS IN MANUFACTURING		
New orders received	Unadjusted monthly averages	Millions of Canadian dolla
of which:		
- Consumer goods industries	"	"
- Capital goods industries	"	"
Unfilled orders	End of period, unadjusted	"

SOURCES: Canadian Statistical Review (D.B.S.),
Bank of Canada Statistical Summary.

·IPLOYMENT AND OTHER BUSINESS INDICATORS

1959	1960	1961	1961				1962	
			1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER
129	130	134	129	132	136	139	141	144
177	178	188	177	185	191	197	199	200
112	110	111	106	108	114	117	118	122
25	126	131	128	130	132	134	137	138
141	109	126	149	124	124	118	144	133
146	124	116	113	110	125	114	132	115
82	66	74	59	72	77	74	63	77
228	6,403	6,518	6,371	6,525	6,663	6,512	6,429	6,611
112	114	116	114	115	116	117	118	119
111	108	105	104	105	106	106	105	106
94	91	90	88	88	90	92	93	94
103	103	103	103	103	104	105	106	106
110	106	103	103	102	104	104	107	106
373	448	469	706	483	328	360	563	374
6.0	7.0	7.2	11.1	7.4	4.9	5.6	8.8	5.7
188	229	236	254	251	232	207	200	195
6.0	7.0	7.2	7.7	7.6	7.0	6.3	6.0	5.8
-	94	109	74	117	131	113	93	144
40.7	40.4	40.6	40.3	40.6	40.6	40.7	40.8	40.9
,357	1,375	1,389	1,372	1,380	1,391	1,404	1,432	1,442
,178	4,293	4,427	4,277	4,294	4,335	4,427	4,471	4,490
,504	4,533	4,646	4,591	4,487	4,495	4,646	4,788	4,754
,047	2,052	2,097	2,019	1,955	2,024	2,097	2,061	2,036
.153	1,087	1,144	1,115	1,090	1,101	1,144	1,192	1,235
,303	1,394	1,405	1,458	1,442	1,371	1,405	1,535	1,484
944	1,924	1,999	1,842	2,016	2,035	2,106	2,049	2,217
569	561	579	529	567	607	612	565	597
148	135	141	137	142	123	162	155	178
,067	1,826	1,935	1,938	1,934	1,875	1,935	2,142	2,150

Table III. PRICE

	BASIS	UNIT
CONSUMER PRICES	Index, not seasonally adjusted	1953 = 100
of which:		
- Food	"	"
GENERAL WHOLESALE PRICES	Index, not seasonally adjusted	1953 = 100
of which :/		
- Raw and semi-manufactured products	"	"
- Manufactured products	"	"
- Canadian farm products	"	"
HOURLY EARNINGS IN MANUFACTURING	Averages, not seasonally adjusted	Canadian dollars

SOURCES: Canadian Statistical Review (D.B.S.),
General Statistics (O.E.C.D.).

ND WAGES

958	1959	1960	1961	1961				1962		
				1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	1st Quarter	2nd Quarter	3rd Quarter
08	110	111	112	112	112	112	112	112	113	114
08	108	109	110	110	110	111	110	111	111	113
03	104	105	106	105	105	106	107	107	108	110
01	102	101	103	101	101	104	105	106	108	109
04	106	106	107	107	106	107	107	108	108	110
01	101	102	101	104	102	100	99	99	101	106
1.66	1.72	1.78	1.83	1.82	1.84	1.82	1.85	1.86	1.89	n.a.

Table IV. MONEY

	BASIS	UNIT	1958	1959
Three-month Treasury Bill yield[1]	Average of Wednesdays	Per cent	2.28	4.82
Government of Canada 3.25 per cent 1974-76 bonds yield	"	"	4.05	5.00
Currency outside banks	End of period	Millions of Canadian dollars	1,781	1,832
BANK OF CANADA				
Holdings of:		Millions of		
Treasury bills	End of period	Canadian dollars	35.9	305.
Government bonds:				
- up to 2 years' maturity	"	"	245.1	514.
- 2 to 10 years' maturity	"	"	1,014.2	485.
- over 10 years' maturity	"	"	1,326.4	1,314.
Total	"	"	2,621.8	2,620.
CHARTERED BANKS				
Deposits[2]	End of period	Millions of Canadian dollars	12,690	12,279
of which:				
- personal savings deposits	"	"	6,844	6,900
Liquid assets	Daily averages	"	1,967	2,002
Liquid asset ratio	"	Per cent	17.2	16.4
Holdings of Government of Canada direct and guaranteed bonds ..	End of period	Millions of Canadian dollars	2,562	1,827
Loans[3]	"	"	5,411	6,142
CONSUMER CREDIT OUTSTANDING[4]	End of period	Millions of Canadian dollars	2,030	2,205
NATIONAL HOUSING ACT MORTGAGE LOANS	Period totals	Millions of Canadian dollars	908	675
SECURITY ISSUES	Period totals	Millions of Canadian dollars	3,072	2,247
of which:				
- Finance Company short-term paper	"	"	- 111	135
- Government securities	"	"	1,252	723
- Provincial and municipal bonds	"	"	954	867
- Corporate bonds	"	"	665	119
- Corporate stocks	"	"	312	404
INDUSTRIAL SHARE PRICES[5] .	Index	1953 = 100	157	185
CORPORATION PROFITS BEFORE TAXES	Period totals, all industries, season. unadjusted	Millions of Canadian dollars	3,075	3,498

1) From 1st November 1956 to June 24th 1962 the Bank Rate was fixed each week at one quarter of 1 per cent above the latest average tender rate for 91-day Treasury Bills. On June 24th 1962 it was fixed at 6 per cent; in September 1962 the Rate was reduced to 5.5 per cent, in October 1962 to 5 per cent, and in November 1962 to 4 per cent.

SOURCES: Bank of Canada Statistical Summary - Canadian Statistical Review (D.B.S.) - General Statistics (O.E.C.D.)

1960	1961	1961				1962		
		1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	1st Quarter	2nd Quarter	3rd Quarter
3.30	2.83	3.16	3.07	2.50	2.58	3.09	3.62	5.21
5.11	5.05	5.18	5.15	4.97	4.89	4.89	4.87	5.42
1,876	1,959	1,894	1,929	1,954	1,959	1,945	2,025	2,032
404.4	312.2	303.9	276.7	326.9	312.2	231.9	177.9	399.4
353.4	513.9	331.4	438.2	424.0	513.9	436.6	338.1	300.6
744.8	814.0	790.7	763.3	879.8	814.0	905.7	789.3	1,139.2
1,187.2	1,185.5	1,183.6	1,183.9	1,180.8	1,185.5	1,185.2	1,187.1	639.2
2,689.7	2,825.7	2,609.6	2,662.2	2,811.5	2,825.7	2,759.5	2,492.5	2,478.3
12,921	14,186	12,720	12,904	13,363	14,186	13,886	14,325	13,683
7,215	7,618	7,484	7,549	7,724	7,618	7,899	7,993	8,119
2,081	2,345	2,263	2,311	2,466	2,504	2,451	2,286	2,205
17,3	18.3	18.2	18.3	18.8	18.7	18.0	16.1	16.1
2,088	2,639	2,197	2,240	2,465	2,639	2,717	2,464	1,904
6,534	6,880	6,362	6,477	6,588	6,880	7,021	7,743	7,884
2,337	2,356	2,215	2,259	2,275	2,356	2,252	2,328	n.a.
410	724	132	246	191	156	114	205	150
2,023	2,556	438	500	678	939	189	266	70
10	- 67	53	- 9	- 84	- 27	16	27	- 5
612	890	7	8	235	639	- 38	- 251	- 32
864	1,140	291	184	359	306	158	227	102
317	345	14	154	124	53	20	202	- 20
220	249	72	164	45	- 32	33	61	24
176	225	203	225	237	234	238	221	203
3,277	3,438	609	910	969	950	767	1,051	n.a.

[1] Including Government of Canada deposits.
[2] Excluding day-to-day loans (included in liquid assets).
Finance company and retail dealer-credit extended to consumers.
Revised series.

Table V. PUBLIC FINANCE

FINANCIAL

1. BUDGETARY REVENUE	
of which:	
- Personal income tax	
- Corporate income tax	
- Sales tax	
- Excise taxes and duties	
- Customs import duties	
2. BUDGETARY EXPENDITURE	
of which :	
- National defence and defence production	
- Public debt charges	
- Subsidies, etc. to provinces	
- Family allowances	
3. BUDGETARY ACCOUNT surplus (+) or deficit (-)	
4. NON-BUDGETARY ACCOUNTS net receipts (+) or net disbursements (-)	
of which :	
- Central Mortgage and Housing Corporation	
- Canadian National Railways	
- St. Lawrence Seaway Authority	
- Changes in advances to Exchange Fund Account	
5. OVERALL FINANCIAL POSITION (3 + 4) surplus (+), requirement (-)	
6. FINANCING	
Increase (+) in unmatured debt outstanding	
Decrease (+) in securities investment account holdings	
Decrease (+) in sinking fund holdings	
Decrease (+) in cash balances	

1) Preliminary.
2) Budget Estimates, April 1962.
3) Revised Estimates, October 1962.
SOURCES: Bank of Canada Statistical Summary - Canadian House of Commons Debates, Official Report.

GOVERNMENT OF CANADA

YEARS

Millions of Canadian dollars

1959-1960	1960-1961	1961-1962[1)]	1962-1963[2)]	1962-1963[3)]
5,289.8	5,617.7	5,772.0	5,780.0	5,930.0
1,566.6	1,711.2	1,800.0	1,784.0	1,750.0
1,142.9	1,276.6	1,205.0	1,168.0	1,180.0
732.7	720.6	774.0	813.0	825.0
622.7	635.6	639.0	630.0	640.0
525.7	498.7	539.0	550.0	680.0
5,702.9	5,958.1	6,563.4	6,525.0	6,500.0
1,532.5	1,537.9	1,646.7	1,702.0	1,616.4
783.4	797.6	839.7	788.2	788.2
519.0	537.8	540.6	264.6	264.6
491.2	506.2	520.9	536.0	536.0
- 413.1	- 340.4	- 791.4	- 745.0	- 570.0
+ 37.8	+ 46.6	+ 312.4		
- 315.1	- 192.0	- 198.0		
+ 260.4	+ 116.5	- 76.4	n.a.	n.a.
- 33.1	- 24.0	- 10.0		
+ 35.0	- 64.0	+ 241.0		
- 375.5	- 293.8	- 479.0	n.a.	n.a.
+ 316.0	+ 177.8	+ 857.1		
+ 20.1	- 23.6	+ 24.0		
- 2.1	+ 68.3	- 0.8		
+ 41.5	+ 71.3	- 401.3		

Table VI. FOREIGN

	BASIS	UNIT	1959
IMPORTS	F.o.b. monthly averages	Millions of Canadian dollars	459.1
of which from:			
- United States	"	"	309.1
- Western Europe 1)	"	"	30.7
EXPORTS (including re-exports)	F.o.b. monthly averages	Millions of Canadian dollars	428.4
of which to:			
- United States	"	"	265.2
- Western Europe 1)	"	"	38.1
VISIBLE TRADE BALANCE	Monthly averages	Millions of Canadian dollars	- 30.8
Volume of imports	Index	1953 = 100	122
Volume of exports	"	"	119
Prices of imports	"	"	105
Prices of exports	"	"	104
BALANCE OF PAYMENTS			
Current balance	Period totals	Millions of Canadian dollars	-1 504
of which with:			
- United States	"	"	-1 230
Direct investment in Canada	"	"	550
Portfolio securities	"	"	617
Other capital movements	"	"	337
Official holdings of gold and U.S. dollars .	End of period	Millions of U.S. dollars	1 869.2
U.S. dollar excnange rate	Average noon spot rates	Canadian cents	95.90

1) Includes Austria, Belgium and Luxembourg, Denmark, Finland, France, Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Netherlands, Norway, Portugal, Spain, Sweden and Switzerland.

2) The Canadian authorities expect that these figures will be revised upwards.

3) Includes special international financial assistance, $ 707 million.

SOURCES: Canadian Statistical Review (D.B.S.) - Bank of Canada Statistical Summary - General Statistics (O.E.C.D.)

1960	1961	1961				1962		
		1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER
456.9	480.9	427.2	493.8	470.8	531.9	490.1	558.9	n.a.
307.2	322.0	298.1	328.5	310.4	351.0	352.4	387.3	n.a.
31.0	34.6	24.1	35.3	35.3	43.9	28.3	42.2	n.a.
448.9	491.3	421.3	472.4	527.5	544.0	465.1	539.4	5 365
253.0	268.0	225.5	257.3	288.5	300.9	285.7	316.4	3 207
50.1	60.5	67.2	50.0	59.3	65.6	39.1	53.8	n.a.
- 8.0	+ 10.4	- 5.9	- 21.4	+ 56.7	+ 12.1	- 25.0	- 17.1	n.a.
120	122	110	127	118	133	121	135	n.a.
124	134	116	130	144	147	124	142	140
106	110	107	108	110	111	113	115	n.a.
104	105	104	104	105	106	107	109	109
-1 243	-982	-337	-311	-62	-272	-353	-377	n.a.
-1 361	-1 386	-433	-435	-151	-367	-353	-441	n.a.
650	515	140	158	117	100	85[2]	50[2]	n.a.
217	306	72	148	82	84	-53	55	n.a.
376	161	125	5	-137	168	321	272[3]	n.a.
1 829.2	2 055.8	1 934.9	1 985.2	1 924.3	2 055.8	1 709.4	1 808.7	2 444.6
96.97	101.32	98.99	99.42	103.21	103.61	104.77	107.42	107.78

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